8 Simon invested an amount of money in a savings account at 0.5% per annum compound interest.
At the end of 3 years, the amount of money in the savings account was £12 180.90

Work out how much money Simon invested in the savings account.
You must show your working.

$\text{Final balance} = P \times 1.005^3$

1 mark
Use the three year multiplier.

$P = 12180.90 \div 1.005^3$

1 mark
Divide to undo compound growth.

$= 11999.998522...$

$\text{Initial investment} = £12000$

1 mark
Round the money value.

£.....

(Total for Question 8 is 3 marks)